TEXORA · LECTURE SHEET

Organization and Organizational Structures

How work is divided, grouped and coordinated: departmentation, authority, span of control and the classic structures — line, line and staff, functional, divisional and matrix — drawn on the map of a real composite textile mill.

TE-3109 · SUPPLY CHAIN MANAGEMENT IN TEXTILES · TOPIC 2 · LEVEL 3 TERM 1

1. Organization — meaning and purpose

An **organization** is a deliberate arrangement of people working together toward common goals that none of them could reach alone. **Organizing**, the management function behind it, is the process of identifying and grouping the work to be done, defining and delegating responsibility and authority, and establishing relationships so that people can cooperate effectively. The visible result is the **organizational structure** — the formal pattern of jobs, departments and reporting lines, usually drawn as an **organization chart**.

A sound structure does five things. It **divides work** so that nothing is duplicated or forgotten — fabric inspection belongs to one section, not to three sections partially. It **fixes accountability**: for every result (order shipped, shade approved, machine maintained) exactly one position answers. It **creates coordination paths** so that spinning knows what yarn the knitting section needs next week. It **economises** by specialisation — one laboratory serving all dyeing is cheaper and more expert than four small ones. And it **allows growth**: a structure that works for 12 sewing lines collapses at 60 lines unless the layers and groupings are redesigned.

Two organizations live inside every factory. The **formal organization** is the chart: official jobs, authority and communication channels. The **informal organization** is the network of friendships, seniority, hometown and canteen-group loyalties through which real information often travels faster. Wise managers never pretend the informal organization does not exist: a respected senior operator can carry a new quality rule across a floor in a day, or kill it in an hour. Structure design works with the formal chart; leadership works with both.

2. Principles of organizing

- **Unity of objective.** Every department's goal must contribute to the enterprise goal. A spinning department rewarded only for production will over-produce counts the knitting section cannot use.
- **Efficiency and specialisation.** Group work so that skills and machines are used fully; a mechanic attached to one process learns its faults deeply.
- **Unity of command.** Each subordinate receives orders from one superior only (see Topic 1).
- **Authority–responsibility parity.** Anyone made responsible for a result must hold matching authority: a store in-charge accountable for stock accuracy must be able to refuse an undocumented issue.
- **Delegation.** Authority must be pushed down to the level where the work is done; a factory where every shade band is approved by the general manager has a structure on paper and a queue in practice.
- **Span of control.** No manager should supervise more direct subordinates than can be supervised well (Section 4).
- **Balance and flexibility.** Centralisation balanced against decentralisation; structure stable enough to give security, flexible enough to absorb a new product or a doubled order book.
- **Continuity.** The structure must provide for succession: deputy and trainee positions so that one resignation does not paralyse a department.

3. Departmentation — grouping the work

Departmentation is the grouping of activities and jobs into units. The common bases, each with a textile face:

BASIS	HOW GROUPING WORKS	TEXTILE / APPAREL EXAMPLE	MAIN RISK
By function	By the kind of work: production, marketing, finance, HR	Spinning, weaving, dyeing, garments, merchandising, accounts as separate departments	Departments defend their own targets; the order suffers between them
By product	Each major product gets a self-contained unit	Separate divisions for knitwear, denim and home textiles, each with its own merchandising and production	Duplicated services (three labs, three buying teams) raise cost
By process	By stage of manufacture	Grey fabric → dyeing → finishing → garments as successive departments — the natural map of a composite mill	Handover disputes at each boundary (who owns a shade fault?)
By customer /	By buyer group or export region	Merchandising teams dedicated to European buyers, US buyers, and	Uneven loading when one market slows

market		local-market work	
By territory	By location	A group running factories in Gazipur, Narayanganj and Chattogram under area heads	Standards drift between sites unless audited centrally
By time (shift)	Work organised in shifts with shift-level responsibility	Day / night shift in-charges in spinning and dyeing, where machines run 24 hours	Continuity faults passed between shifts; needs written log discipline

Real factories mix the bases: a group may be product-divisional at the top, functional inside each division, process-based inside the factory, and shift-based on the floor. The design question is never which basis is "correct" but which grouping makes the dominant coordination problem easiest — for export garments, that problem is usually the order, which is why merchandising so often becomes the coordinating spine.

4. Authority, delegation, centralisation and span of control

Authority is the formal right to command, to spend and to decide, attached to a position — not to a person. **Responsibility** is the obligation to complete an assigned task; **accountability** is answerability for the result to one's superior. Delegation moves a task, the authority needed for it, and the obligation to report, from a superior to a subordinate — but the superior's ultimate accountability can never be delegated away. A general manager who delegates shade approval to the dyeing manager remains accountable to the managing director for shade quality; delegation shares work, not blame.

Centralisation keeps decision authority concentrated at the top; **decentralisation** disperses it to lower levels. Centralisation gives consistency and control — one purchase department negotiating all cotton buys gets better prices — but slows response and overloads the top. Decentralisation gives speed and ownership — a factory manager who can approve a spare part locally saves a day of downtime — at the cost of varied standards. Mature textile groups centralise policy, finance and quality standards and decentralise daily operating decisions.

The **span of control** (span of management) is the number of subordinates reporting directly to one manager. Classical writers suggested small spans (about 5–6 at senior levels), but the workable span depends on the work itself: the similarity of the tasks, their complexity, the subordinates' training, the clarity of plans, and the communication tools available. A sewing line supervisor can oversee 30–40 operators performing the same few operations with a line chief's help; a head of product development can properly guide perhaps five senior designers, each doing different creative work. Wide spans produce **flat** structures (few layers, fast communication, risk of weak supervision); narrow spans produce **tall** structures (close supervision, many layers, slow decisions, higher cost, and messages distorted as they climb). Modern practice flattens where work is routine and well measured, and keeps

spans narrow where work is complex or quality-critical — dyeing recipe approval, for example, stays deliberately narrow.

5. The classic structures

5.1 Line organization

The simplest and oldest form: an unbroken vertical line of authority from top to bottom, each unit self-contained under one head who holds full authority over it — the military pattern. It suits small units (a single tailoring shop, a small subcontract sewing unit) where the owner-manager can decide everything quickly. Its strengths are unity of command, speed and clear accountability; its weakness is that each head must be an all-rounder, quality of decisions depends on one person, and overload grows with size.

5.2 Line and staff organization

As firms grow, **staff specialists** are added to advise the line: a quality assurance department, an industrial engineering (work-study) team, a compliance cell, a central laboratory. Staff hold **advisory** authority — they recommend, measure and audit — while line managers retain the right to decide and command. The classic conflict is predictable: line managers complain that staff "only find faults"; staff complain that their advice is ignored. The remedies are precise job definitions (staff audit and report, line act), staff authority limited to defined points (a QA manager may hold a shipment on a failed final audit — a deliberate, written exception), and senior management visibly backing both roles.

5.3 Functional organization

Taylor's radical alternative: divide managerial work itself by function, so that a worker takes instructions from several functional specialists — in Taylor's shop, eight foremen for routing, instruction, time-and-cost, discipline, gang, speed, repair and inspection. Specialisation is perfect, but unity of command is destroyed, and in its pure form it is rarely used. Its modern, softened descendant is the **functional department** structure of Section 3, where functional heads command only inside their own department.

5.4 Divisional organization

Large groups split into semi-autonomous **divisions** by product, market or region, each division containing its own functions and judged on its own profit. Headquarters keeps strategy, finance and standards. This is the normal shape of a Bangladeshi textile group running knitwear, woven and denim businesses side by side.

5.5 Matrix organization

In a **matrix**, staff belong to a functional home but are assigned to project or order teams, reporting to two managers — for garments, a merchandiser may sit in the merchandising department while working inside a buyer-dedicated team led by a team head. The matrix buys flexible use of scarce specialists and order-level focus; it pays with dual command, heavier meetings and the need for managers skilled at negotiation rather than instruction. Section 5 of Topic 5 shows the same logic applied across companies in a supply chain.

STRUCTURE	BEST FOR	CHIEF STRENGTH	CHIEF WEAKNESS
Line	Very small units	Speed, clarity, unity of command	Head must be an all-rounder; overload
Line and staff	Medium and large factories	Expert advice without losing line command	Line–staff conflict if roles are vague
Functional	Deep specialisation needs	Expert supervision of each function	Multiple command; coordination burden
Divisional	Multi-product / multi-market groups	Accountable profit units; growth-friendly	Duplication of services; cost
Matrix	Order / project-driven work with scarce specialists	Flexibility; customer focus	Dual reporting; meeting load

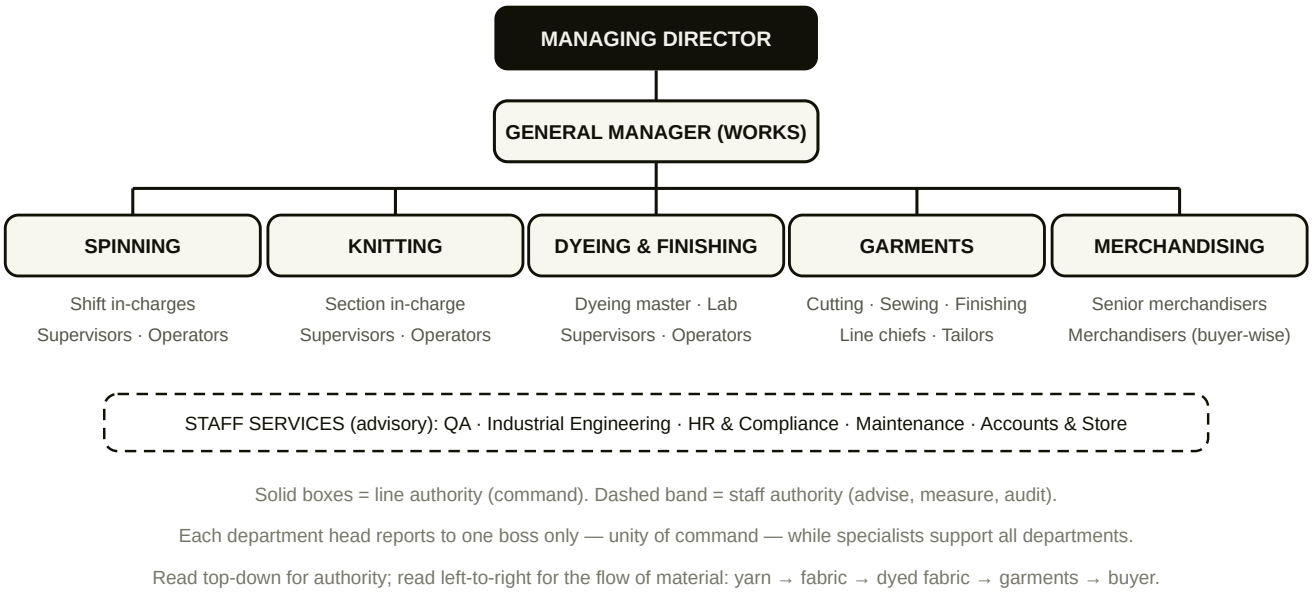


Figure 1 — Organization chart of a composite knitwear mill (line and staff structure). Production flows left to right through process departments; staff services advise and audit across all of them without breaking unity of command.

6. Reading and using an organization chart

A chart shows, at a glance: the jobs that exist, their grouping, each job's superior, the span of control of each manager, and the channels of formal communication. It does *not* show the real distribution of influence, the quality of relationships, or how much authority is actually delegated — a chart that names a "manager" who must telephone the owner for every decision describes the paper organization, not the real one. Charts earn their keep during audits and disputes (whose signature approves a lab dip? who may release a shipment?), during induction of new staff, and whenever growth forces redesign. A chart that nobody updates becomes fiction within a year; each reorganisation should end with a dated, approved chart circulated to every department.

> **DESIGN TEST**
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> For any structure ask four questions: (1) Is every result owned by exactly one position? (2) Does every position hold authority matching its responsibility? (3) Can an urgent floor problem reach a decision-maker in minutes, not days? (4) Would the structure still work at double the present order volume? A "no" on any question marks the next redesign task.

Glossary

Organization — a deliberate arrangement of people and work toward common goals. **Departmentation** — grouping activities into units by function, product, process, customer, territory or time. **Authority** — the formal right of a position to decide and command. **Delegation** — assigning task and authority downward while ultimate accountability stays with the delegator. **Span of control** — the number of direct subordinates of one manager. **Line authority** — command authority along the chain. **Staff authority** — advisory authority of specialists. **Centralisation / decentralisation** — concentration / dispersal of decision authority. **Scalar chain** — the unbroken line of authority from top to bottom.

Key points

• Organizing divides work, fixes accountability, creates coordination paths and prepares the firm for growth.

• Departmentation bases — function, product, process, customer, territory, time — are normally mixed in one firm.

• Authority must match responsibility; delegation moves work and authority, never ultimate accountability.

• Span of control depends on the work: wide spans flatten the structure, narrow spans make it tall.

• Line, line-and-staff, functional, divisional and matrix structures trade specialisation against unity of command in different ways; the line-and-staff composite mill is the industry default.

• Formal charts guide official work; the informal organization carries real influence and must be understood, not denied.

Practice

1. Sketch the organization chart of a 24-line woven garment factory with cutting, sewing, finishing, QA, merchandising, HR-compliance and store. Mark which positions are line and which are staff.
2. A dyeing manager is accountable for shade quality but the laboratory that approves recipes reports to the general manager and often overrules him. Which organizing principle is violated, and what two structural remedies exist?
3. Explain why a sewing supervisor can manage 35 operators while a head of design can manage only 5 designers, using the factors that determine span of control.
4. A group adds denim and home-textile businesses to its knitwear factory. Argue for and against moving from a functional to a divisional structure.
5. "Delegation fails because managers fear losing control." Discuss with reference to authority, responsibility and accountability.
6. A new merchandiser finds that fabric problems are reported by the knitting in-charge to the GM, by QA to the merchandising head, and by the dyeing master to nobody. Diagnose the structural fault and propose a fix.

Answer key

1. Full marks require: one factory head; production departments (cutting, sewing by lines, finishing) as line; QA, merchandising support, HR-compliance and store shown as staff or service units with advisory links; each line reporting to a single superior; spans plausible (a sewing manager over 3–4 line chiefs, each over the line's operators through supervisors).
2. Authority–responsibility parity (and scalar-chain clarity) is violated. Remedies: (i) place the laboratory under the dyeing manager, with QA independently auditing results; or (ii) keep the lab independent but define in writing which decisions belong to whom — recipe approval to the lab, bulk shade execution and correction to dyeing — with a named arbiter. Either restores a single accountable owner per decision.
3. Operators perform similar, routine, measurable operations, closely located, with standard methods and a line chief assisting — all factors permitting a wide span. Designers do dissimilar, complex, judgment-heavy work needing frequent discussion and feedback — factors forcing a narrow span. Span is set by the work, not by a universal number.
4. For divisional: each product has different buyers, processes and economics; divisional heads can be held accountable for profit; growth and new products slot in cleanly. Against: duplicated

merchandising, labs and compliance teams raise overhead; group-wide buyers may face three doors instead of one; scarce specialists are spread thin. A common compromise: divisions for production and merchandising, shared central staff for compliance, finance and HR.

5. Delegation transfers the task, the authority to act, and the duty to report — but the delegator remains accountable upward. Fear of losing control usually reflects missing control systems, not delegation itself: with agreed targets, exception reports and audit points, a manager can delegate widely and still detect deviation early. Refusing to delegate concentrates every decision at the top, delays the floor, and trains no successors — the greater loss of control.
6. There is no defined reporting relationship or single owner for fabric quality: three partial channels and one silence. Fix: name one accountable owner (e.g., head of QA for fabric quality reporting, with the knitting in-charge accountable for production), put all fabric faults through one written channel (daily fabric quality report to merchandising and dyeing), and draw it on the chart so the route is formal, not personal.
